

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Fears about AI disruption** triggered by a speculative report on the subject helped drive down major U.S. stock indexes, leaving the S&P 500, Dow and Nasdaq with losses of 1%, 1.7% and 1.1%, respectively. **B1**
- ◆ **The administrator** winding down Terraform Labs sued Jane Street, alleging that the high-speed trader engaged in insider trading to profit unlawfully from and ultimately hasten the crypto empire's collapse. **B1**
- ◆ **Novo Nordisk shares** fell 16.5% after the drugmaker said its next-generation obesity treatment failed to outperform Eli Lilly's Zepbound in a head-to-head study. **B1**
- ◆ **Merck, facing sales** pressure, will split its human-health business into two divisions, one for cancer drugs and the other for noncancer products. **B1**
- ◆ **Anthropic said three** Chinese AI companies set up more than 24,000 fraudulent accounts with its Claude model to help their own systems catch up. **B1**
- ◆ **Apple will move** some production of its Mac Mini desktop computer to the U.S. from Asia, its latest initiative to repatriate parts of its vast supply chain. **A4**
- ◆ **Bankrupt First Brands** laid off employees, saying it was unable to find financing or a buyer to continue most of its operations. **B2**
- ◆ **Domino's Pizza posted** higher revenue for its latest quarter, boosted by sales growth at its U.S. company-owned and franchise stores. **B3**
- ◆ **Loblaws plans to build** more than two dozen new grocery stores under its discount banners in 2026. **B5**

Worldwide

- ◆ **The Supreme Court** ruling on Trump's tariffs has unleashed a fresh wave of global uncertainty, as governments and businesses scramble to figure out whether to rewire global supply chains, reopen trade deals and seek refunds for hundreds of billions of dollars in tariffs. **A1, A2**
- ◆ **FedEx filed suit** against the U.S. government, seeking a full refund plus interest for what it paid in trade duties stemming from Trump's tariffs enacted last year. **A2**
- ◆ **Nick Reiner pleaded** not guilty to the murder of his parents, Hollywood couple Rob Reiner and Michele Singer Reiner, who were found dead in December. **A3**
- ◆ **The Pentagon raised** concerns with Trump about an extended military campaign against Iran, advising that war plans being considered carry risks, including allied casualties and depleted air defenses. **A6**
- ◆ **The Pentagon received** no orders to deploy any U.S. Navy vessels to Greenland, U.S. officials said, despite Trump's claim that a hospital ship was on its way there. **A8**
- ◆ **A former Immigration** and Customs Enforcement instructor testified that the agency has scaled back its training, leaving recruits unprepared. **A4**
- ◆ **Mexico braced for** a fratricidal struggle within the Jalisco New Generation Cartel for primacy after the military killed the organization's leader. **A8**
- ◆ **A federal judge** permanently barred the release of special counsel Jack Smith's investigation into Trump's hoarding of classified documents. **A4**

CONTENTS	Markets Digest..... B7
Arts in Review..... A12	Opinion..... A13-15
Business & Finance B2-35-6	Personal Journal A10-11
Crossword..... A12	Sports..... A16
From Page One..... A9	Technology..... B4
Heard on Street..... B12	U.S. News..... A2-4
Markets..... B11	World News..... A6,8



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Storm Brings Much of Northeast to a Standstill



RYAN MURPHY/GETTY IMAGES

SNOW DAY: People walk in New York's Central Park on Monday after a nor'easter slammed the region from Virginia to Maine, dumping more than 2 feet of snow in some areas. Airports and roads were closed, and hundreds of thousands lost power. **A3**

Binance Fired Staff Who Said \$1 Billion Moved to Iran Entities

Firm denied workers were fired for report; Trump pardoned founder in October

Weeks after President Trump granted a pardon to convicted Binance founder Changpeng Zhao in October, executives at the crypto exchange dismantled a staff investigation into \$1 billion that had recently moved through Binance to a network funding Iran-backed terror groups, according to company

documents and people familiar with Binance's operations. A trading account belonging to a close Binance business partner was identified as a primary channel that moved cryptocurrency to the Iranian network. Binance subsequently fired the investigators who had uncovered the transfers—and the network remained active. A Binance spokeswoman said the investigators weren't "suspended or terminated for raising compliance concerns" but instead left "based on individual

By *Patricia Kowsmann, Angus Berwick and Ben Foldy*

circumstances." The investigation continued, she said, and resulted in the entities identified being removed from Binance's platform. The episode echoed some of the same concerns that drew U.S. scrutiny in 2023, when prosecutors secured a plea deal with the world's largest crypto exchange and a prison sentence for Zhao. Binance admitted to

breaking sanctions and anti-money-laundering laws—violations that turned it into a money-laundering hub for criminals, terrorists and Iranian-sanction evaders. The exchange paid a record \$4.3 billion fine and pledged reform under U.S. oversight, including by expanding investigative staff to block illicit money. Its founder, Zhao, was sentenced to four months in prison for failing to maintain an effective anti-money-laundering program. The moves essentially

Please turn to page A9

Apple Aims To Help Rebuild U.S. Chip Factories

By *ROLFE WINKLER*

PHOENIX—On a desolate stretch of land dotted with cactuses some 30 minutes north of Phoenix, more than 30 cranes tower over a construction site 2½ times the size of New York City's Central Park. A mammoth chip-manufacturing facility is rising, along with U.S. hopes of revitalizing a crucial industry. The plant's biggest customer is Apple, which is using its enormous purchasing power to help boost U.S. chip production. The company is seeking to diversify its supply chain, score tariff exemptions and answer the call of two presidents to help the U.S. reduce its dependency on foreign suppliers for the foundational technology of the modern economy. The world's largest chip maker, Taiwan Semiconductor Manufacturing, or TSMC, is building the site, planning to spend \$165 billion to build six chip plants and more, making it one of the largest construction projects in the U.S. Under pressure from the Trump administration, Apple vowed last year to invest \$600 billion in the U.S. over four years. Much of that spending isn't related to manufacturing. It counts all spending in the U.S. including salaries for tens of thousands of Apple employees and retail staff. But the commitment also includes the more than 100 million chips Apple plans to buy from TSMC Arizona this year, said David Tom, its global head of procurement. *Please turn to page A4*

Mexican Security Forces Found Drug Lord by Tracking a Lover

By *SANTIAGO PÉREZ AND JOSÉ DE CÓRDOBA*

MEXICO CITY—Security forces launched a massive operation to capture Mexico's top drug lord after U.S. and Mexican intelligence agencies tracked one of his girlfriends to a secluded love nest in a colonial town, Mexican officials said on Monday. A team of elite Mexican army and National Guard special-operations soldiers descended early Sunday on the

community of Tapalpa in western Mexico, where Nemesio "Mencho" Oseguera, the head of the Jalisco New Generation Cartel, remained holed up after his girlfriend left, Mexico's defense secretary, Gen. Ricardo Trevilla, said on Monday. The soldiers chased Oseguera and several bodyguards, surrounding them deep into nearby woods, Trevilla said. A battle ensued, as Oseguera's desperate bodyguards,

armed with two rocket launchers, fired on the pursuing troops. In the fighting, eight people were killed, including Oseguera and two other bodyguards who were seriously wounded and then died in a military helicopter later. Trevilla said Mexican intelligence services identified a man close to Oseguera's lover who took her to Tapalpa, a mountain. *Please turn to page A8*

◆ **Mexico is racing to avoid a drug war..... A8**

INSIDE



WORLD NEWS
Police in London arrest the U.K.'s former ambassador to the U.S. over Epstein links. **A6**



JASON GAY
Alysa Liu and four minutes that changed the Olympics forever. **A16**

A British Explorer's Quest: Reach All the Middles of Nowhere

Chris Brown has spent years journeying to the planet's most remote spots

By *JACOB BUNGE*

After spending a week and a half sailing halfway across the far southern Pacific, tossed between 20-foot waves and crippling bouts of seasickness, Chris Brown reached his

destination.

He slipped out of a Zodiac boat and shot a few photos as he bobbed in the chilly sea. After about 25 minutes he clamored back aboard the ship, girding for another long voyage *Please turn to page A10*

Trading Partners Are Left Uncertain On Tariffs

After court's ruling, allies signal they'll uphold deals, but U.S. strategy is weakened

The Supreme Court ruling on President Trump's tariffs has unleashed a fresh wave of global uncertainty, as governments and businesses scramble to figure out whether to rewire global supply chains, reopen trade deals and seek refunds for hundreds of billions of dollars in tariffs.

By *Tom Fairless in Frankfurt and Jon Emont in Singapore*

While major U.S. trading partners such as the European Union, South Korea and Japan have signaled that they would stick to the trade deals they struck, the ruling has left them with a host of questions over how it will affect Trump's tariff policies and negotiating power.

"Frankly, it's a total mess," said Itsunori Onodera, tax-policy chief of Japan's ruling Liberal Democratic Party, when asked about Trump's latest tariffs on a television program. "As an ally, Japan is

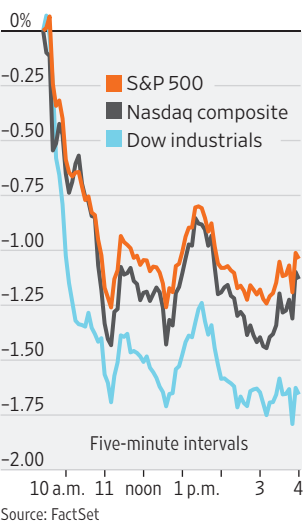
Please turn to page A2

- ◆ **Tariffs again become economic wild card..... A2**
- ◆ **Trump weighs new levies based on security..... A2**

Viral Report Sinks Stocks

A research report on AI's impact on employment hit stocks Monday. **B1**

Index performance on Monday



Source: FactSet

AI Startups Juice Values With Novel Fundraising Tactic

By *ANGEL AU-YEUNG*

AI startup Serval closed a private deal with venture-capital giant Sequoia in December that valued it at less than \$400 million. Days later, Serval announced a new milestone from another funding round. This time, its valuation had topped \$1 billion, giving it Silicon Valley's coveted "unicorn" status. Serval's \$600 million valuation surge in less than a week is an example of a fundraising tactic that has grown increasingly popular for sought-after startups and top-tier venture-capital firms in recent months. A startup sells a stake of its company to a leading investor at one valuation and, either soon after or at the same time, offers additional shares to other backers at a much higher valuation. The result: The leading investor books a massive gain, at least on paper, and the startup

can announce and publicize a much higher value. Startups have long commanded lofty valuations that have generally been less rooted in the strict dollars-and-cents metrics investors use to evaluate publicly traded companies. In some ways, a company is worth whatever an investor is willing to pay for it. But several VC investors and outside accounting professionals said the back-to-back or multitiered deals are novel and raise questions about how much startups are really worth in an age of frenzied artificial-intelligence investing. The practice "absolutely does inflate valuations," said Chris Douvos, founder of AHOY Capital, a fund of funds that invests in venture-capital firms. "Founders and investors have the ability to weaponize a startup's balance sheet and make these huge investments at huge valuations to try to

Please turn to page A9